



Qualification Programme Examination Panelist's Report

Module 1 – Accounting (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple-Choice Questions

General Comments

This paper consisted of 15 multiple-choice questions. The session contained conceptual and computational typed questions covering a wide range of topics in the syllabus. The syllabus of this paper broadly related to the following topic areas:

- (a) Explaining the purpose of accounting;
- (b) Demonstrating an understanding of accounting principles;
- (c) Preparing accounting records and demonstrating management and control; and
- (d) Preparing and presenting financial statements from a trial balance or incomplete records.

The multiple-choice questions in this paper can be divided into two broad categories:

- (a) Conceptual questions worth 1 mark each; and
- (b) Computational questions worth 2 marks each.

On the whole, candidates' performance in this session was satisfactory. However, candidates should improve their performance on fundamental accounting knowledge and specific topics in order to achieve better results.

Specific Comments

In general, candidates performed well on most of the questions but showed weaknesses in the following areas:

- (a) Differentiating between financial accounting and management accounting;
- (b) Determining the purpose of preparing a statement of cash flows;
- (c) Calculating the cost of conversion of a manufacturing company; and
- (d) Determining the closing inventory based on incomplete information.



Candidates' performance on questions related to specialized accounting topics was relatively weak. A number of candidates did not perform well on areas related to basic knowledge, particularly on the constitution of cost of conversion in a manufacturing account and the reporting period of the statement of cash flows. It appears these candidates may not have sufficiently covered the whole syllabus in depth.

(II) Section B – Written Questions

General Comments

The written questions tested the candidates' knowledge of bank reconciliation statements, accounting entries related to property, plant, and equipment, inventory valuation, and accounting concepts. In addition, candidates were required to prepare financial statements, which was the most important part of this section. In general, performance in this section was fair. Candidates were proficient in calculation-type questions but weak in essay or unstructured-type questions. These candidates seem to have had difficulty in providing appropriate and sufficient rationale to support their answers. With regard to calculations, candidates performed well in the preparation of financial statements for a limited company based on the trial balance provided. However, candidates showed difficulty with questions relating to the determination of inventory amounts based on scattered information.

Specific Comments

Question 1(a) – 6 Marks

This question required candidates to update the bank account in the ledger of a company.

Candidates performed fairly in this question. Most candidates were able to identify errors and made necessary adjustments in the cash book. Some candidates failed to perform adjustment on the dishonoured cheque drawn by the company itself. A few candidates did not understand the accounting treatment for errors made on the wrong side with wrong amount.

Question 1(b) – 6 Marks

This question required candidates to prepare a bank reconciliation statement for a limited company.

Candidates performed fairly and identified correctly the items to reconcile in the question. A few candidates failed to demonstrate an understanding of the format and mixed up the adjustments between unpresented cheques and deposits in transit.



Question 2(a) – 16 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income for a limited company in accordance with HKAS 1 (Revised).

Performance was excellent. Many candidates demonstrated an understanding of the format and presentation of the statement, and most were able to present the “other comprehensive income” session. However, a few candidates were not able to determine the amount of revaluation surplus on building.

Question 2(b) – 13 Marks

This question required candidates to prepare a statement of financial position for a limited company in accordance with HKAS 1 (Revised).

Performance was satisfactory as most candidates demonstrated an understanding of the format and presentation of the statement. However, some candidates did not consider the revaluation of building on non-current assets and failed to determine the correct amount of revaluation reserve.

Question 3(a) – 18 Marks

This question required candidates to prepare journal entries relevant to the acquisition and disposal of property, plant, and equipment.

Performance was fair in this question. The majority of candidates failed to classify warranty cost as revenue expenditure and consequently calculated incorrectly the depreciation expenses on furniture. Additionally, most candidates failed to perform a year-end adjustment on the bank loan interest payable.

Question 3(b) – 7 Marks

This is an unstructured-type question that required candidates to calculate the correct year-end inventory balance for a limited company.

Performance was unsatisfactory. Most candidates failed to determine the value of the inventory using the weighted average inventory cost method. Additionally, some candidates were unable to determine the cost of goods delivered to customers with mark-up provided.

Question 4 – 14 Marks

This question required candidates to apply their judgement and analyse the two cases by identifying and explaining the accounting principles/basis/concepts and enhancing qualitative characteristics that had been violated.



Performance on this question was unsatisfactory. For case (1), the majority of the candidates were able to explain with reference to the concept of consistency and comparability. However, a few candidates incorrectly stated that the depreciation method for the two new motor vehicles could be changed to a straight-line method. For case (2), most candidates correctly identified the concept of accrual but failed to state verifiability. Additionally, most failed to determine the appropriateness of treatment in this case.

Most candidates also failed to elaborate on the principle behind their answers and, instead, simply focused on explaining the case.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates were familiar with key accounting topics, especially the preparation of financial statements for a limited company and bank reconciliation statement.

Candidates are advised to strengthen their understanding of fundamental accounting topics as they are the core of and essential to financial accounting, such as accounting principles/basis/concepts and enhancing qualitative characteristics, and the preparation of journal entries with narratives.

Candidates are also advised to put more effort into special topics such as manufacturing accounts, incomplete records, and inventory valuation.

Candidates are encouraged to improve their writing skills and to be more confident when answering essay-type questions, as these questions seek to test their understandability and form a key element in this module. Essay-type questions also develop candidates' foundational knowledge for the forthcoming module examinations. These could be improved by practicing essay-type questions from the pilot paper, past examination papers, or study materials. Candidates are reminded to read the questions carefully and to address the requirements of the questions. For essay-type questions, it is important to demonstrate an understanding of how the answers are structured.

On the whole, candidates are reminded to observe the marks distribution of the questions and allocate reasonable time for each question. Remember to attempt all the questions in the paper and not to spend excessive time with any particular question.